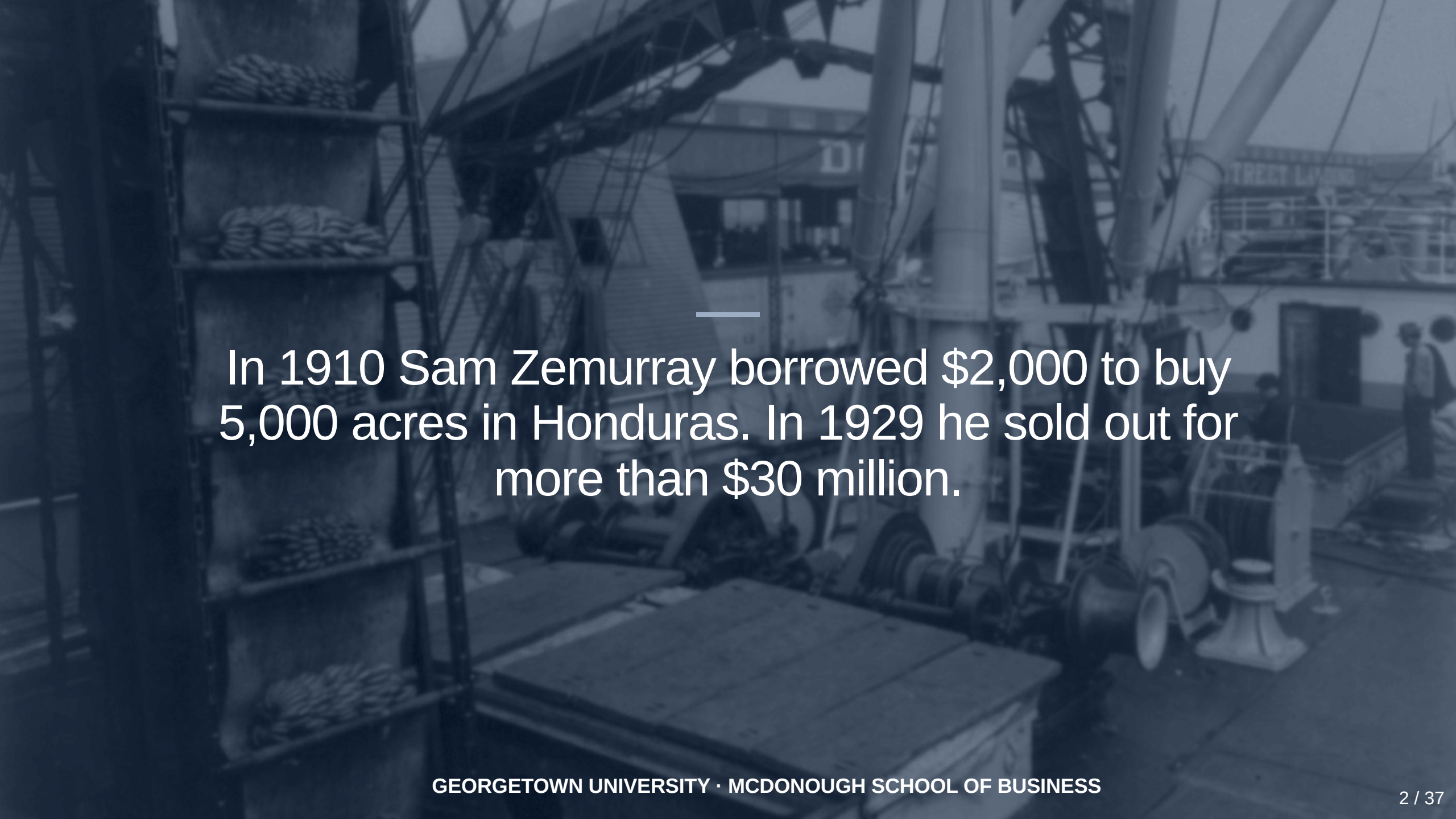
How Sunk Investment Changes Bargaining Power

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In 1910 Sam Zemurray borrowed $2,000 to buy 5,000 acres in Honduras. In 1929 he sold out for more than $30 million.

YOUR IB VOICE

EXPLAIN THE SALE

In 1911 Zemurray paid for a war in Honduras to protect his concessions. In 1929 he sold his company to his largest rival. What had changed about his bargaining position?

10 minutes · Individual · Notes permitted

What had changed by 1929?

Zemurray had far more to lose in 1929 than in 1911.

The State Department wanted the two companies merged.

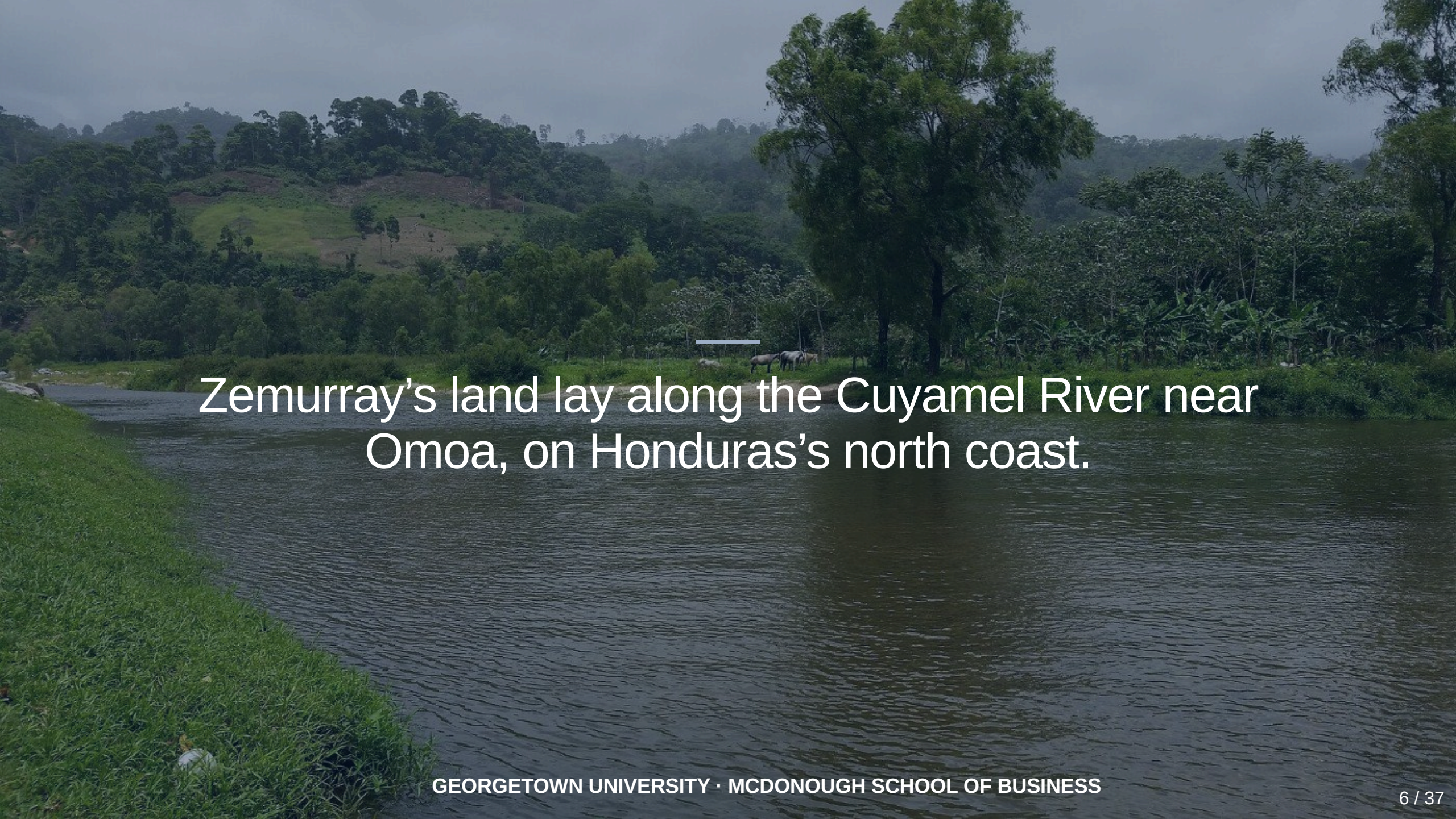
The Honduran government had sided with United Fruit.

The stock market crash.

United Fruit’s stock would make him one of the richest men in the country.

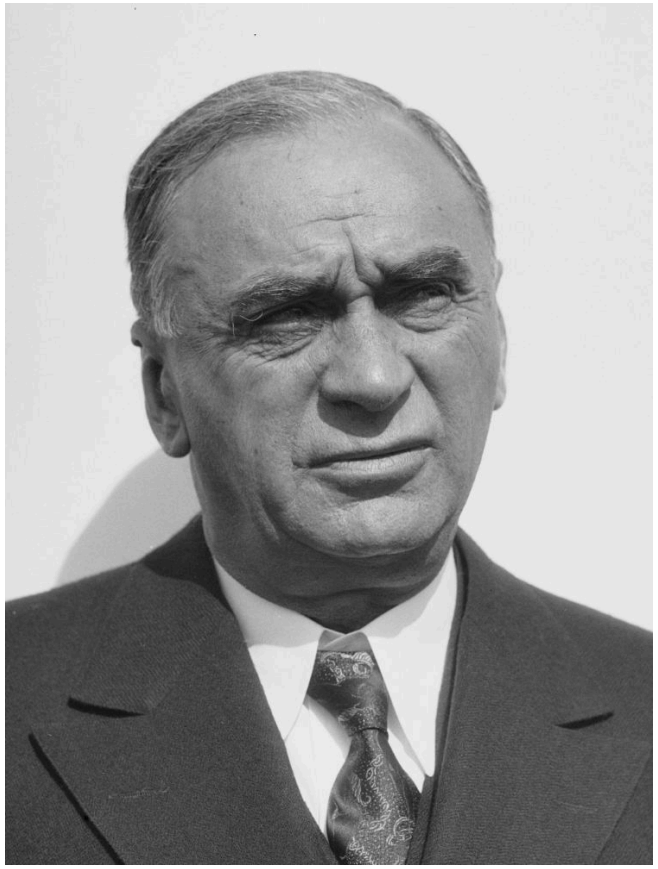
> Which of these would have mattered to a firm that owned nothing in Honduras?

Why buy jungle land with borrowed money?



Zemurray’s land lay along the Cuyamel River near Omoa, on Honduras’s north coast.

Zemurray bet everything on land in Honduras



Los Angeles Times, *Sam Zemurray, 1934* · UCLA Library via Wikimedia Commons, CC BY 4.0.

The peasants who sold him the Cuyamel delta saw swamp, but Zemurray saw the best banana soil in the world.

When banks stopped lending, he borrowed at close to 50 percent and bought out his partner.

> Before he invested, Honduras needed Zemurray's money more than he needed Honduras.

Concessions made the business possible

President Miguel Dávila's government exempted Cuyamel from duties on rails, engines, and machetes, and from property, labor, and export taxes.

A penny more per bunch would have priced his bananas above United Fruit's.



Willis J. Abbot, *One way of carrying bananas*, 1913 · New York Public Library via Wikimedia Commons, public domain.

> Once built, the rails and wharves were worth something only in Honduras, and only on those terms.

What happens when the government changes?

Washington’s debt plan would end his concessions

Honduras owed $100 million on 60 miles of railroad, and Secretary of State Philander Knox feared British warships would come to collect.

Under Knox’s plan, J. P. Morgan’s agents would collect Honduras’s import duties to repay the loan. [Roosevelt Corollary of 1904: if a country in the Western Hemisphere couldn’t pay its European creditors, the United States would step in itself rather than let European navies do it.]

Zemurray feared that would end his right to import equipment duty-free.



C. A. Jarrett, *Philander Knox*, 1904 · Library of Congress via Wikimedia Commons, public domain.

> The threat to Zemurray’s investment came from Washington and Wall Street.



Zemurray did not renegotiate. He paid for a war to put Manuel Bonilla back in power.

Zemurray changed the government



Harris & Ewing, *Manuel Bonilla*, 1911 · Library of Congress via Wikimedia Commons, public domain.

Zemurray secretly bought a used Navy ship and sent Bonilla to Honduras with a mercenary army.

Bonilla's rebels captured the port of La Ceiba, and Honduras's congress rejected the Knox plan.

The U.S. government accepted Bonilla as president, and the debt went unpaid until 1926.

> Washington wanted the debt settled and did not mind who ran Honduras.

The new government wrote the terms he wanted

25 years

of concessions was what Bonilla's congress granted Zemurray in 1912

He could import anything duty-free and build any railroad, and he got a $500,000 loan and 24,700 more acres.

In time Hondurans looked to him for water, health, and security, which a state normally supplies.

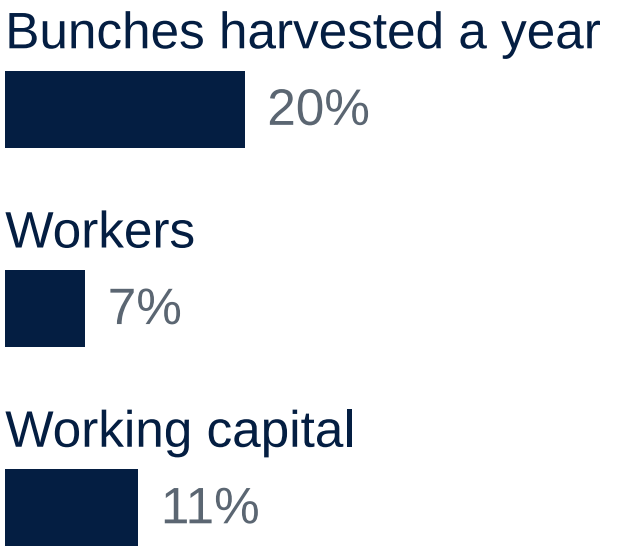
Why did the winner sell to United Fruit?

Cuyamel was the better and the smaller business

Zemurray lived on his plantations and changed how bananas were grown, and United Fruit’s best men quit to join him.

In 1925 he turned down United Fruit’s offer to buy him out.

CUYAMEL AS A % OF UNITED FRUIT



Cohen, *The Fish That Ate the Whale* (2012), ch. 11; percentages computed from Cohen’s figures.

> A rival too small to fight head on and unwilling to sell had to be squeezed another way.

United Fruit squeezed Zemurray through the state



Harris & Ewing, *Pres. Andino of Honduras*, 1936 · Library of Congress via Wikimedia Commons, public domain.

Tiburcio Carías, a Honduran strongman close to United Fruit, blocked a permit to bridge the river his bananas had to cross.

United Fruit bought the headwaters of the rivers that watered his plantations.

> Every asset he could not move gave anyone with a permit, a river, or a president a way to squeeze him.



“Success limited his options and made him vulnerable.”

Zemurray sold while he still could set the price

$30 million

was the value of the United Fruit stock Zemurray received for Cuyamel in 1929

The deal was a merger, so none of his workers were to be fired and no plantation closed.

In return he agreed to retire from the banana trade.

When does sunk investment weaken a firm?

Chile took its copper mines from U.S. firms



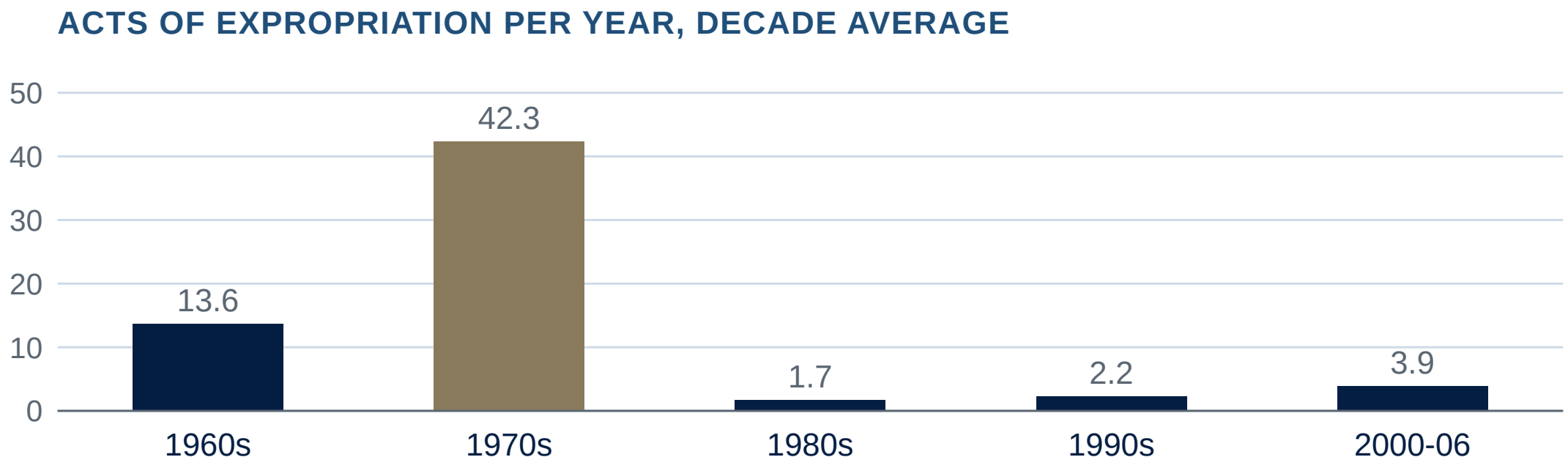
Biblioteca del Congreso Nacional de Chile, *Salvador Allende en Rancagua por nacionalización del cobre*, 1971 · Wikimedia Commons, CC BY-SA 3.0 CL.

In July 1971 Chile's congress voted unanimously to nationalize the large copper mines of two U.S. firms, Anaconda and Kennecott.

Chile then subtracted what it called excess profits ($774 million), which left the firms nothing for their three largest mines (or even owing money).

> In an *expropriation*, a government takes ownership of a firm's property, with or without paying for it.

Expropriations peaked in the 1970s



Chris Hajzler, *Expropriation of Foreign Direct Investments: Sectoral Patterns from 1993 to 2006*, 2010, Table 2, drawing on Kobrin (1984) and Minor (1994).

In the 1970s many governments, several of them newly independent, took over oil fields, mines, and plantations that foreign firms had built long before.

> "Takings" fell sharply after the 1970s, as governments began to compete for foreign investment instead.

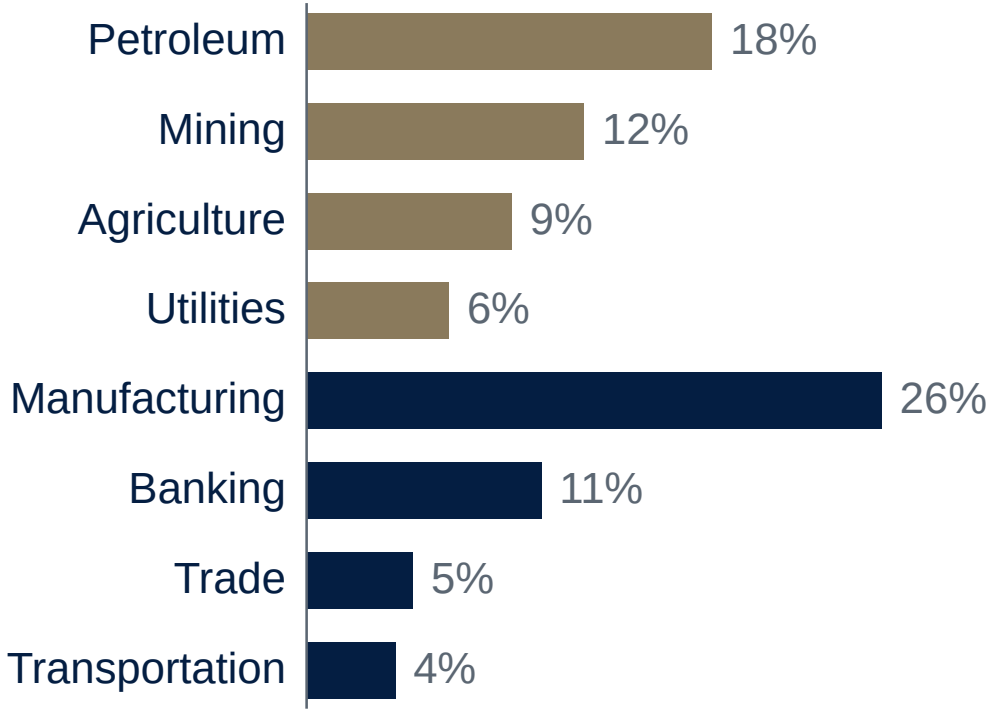
Turn and Talk: Why do you think expropriations spiked in the 1970s?

Governments more likely to expropriate sunk investment

Oil, mines, plantations, and utilities made up nearly half of all expropriations from 1960 to 2006.

Each is tied to one place and useful for little else.

SHARE OF 625 ACTS, 1960 TO 2006



Hajzler (2010), Table 2; shares rebuilt from the table's decade percentages.

> An investment is *sunk* when it would be worth much less in any other place or use.

Chile’s bargain changed once the mine was dug



Diego Delso, *Mina de Chuquicamata, Calama, Chile*, 2016 · Wikimedia Commons, CC BY-SA 4.0.

U.S. firms dug Chuquicamata from 1915 into one of the world’s largest copper pits. Chile bought stakes in the 1960s and took the rest in 1971.

> In an *obsolescing bargain*, a host government gains bargaining power once a foreign firm’s investment is sunk, and can then change the terms.

What protects a sunk investment today?

A treaty binds the state, not just its leaders



The White House, *Shevardnadze and Clinton Sign an Investment Treaty*, 1994 · Wikimedia Commons, public domain.

A treaty is an agreement between states under international law, so a new government inherits it.

A concession like Zemurray's was a promise from one government, which the next one could cancel.

> A *bilateral investment treaty* is a treaty in which two governments each promise to protect investments made by the other's citizens.

Governments signed thousands of these treaties

2,843

bilateral investment treaties had been signed worldwide by the end of 2024

West Germany and Pakistan signed the first in 1959, and most of the rest came in the 1990s and 2000s.

Governments signed them to compete for foreign investment, the same reason Honduras once granted concessions.

The World Bank created ICSID to draw investment



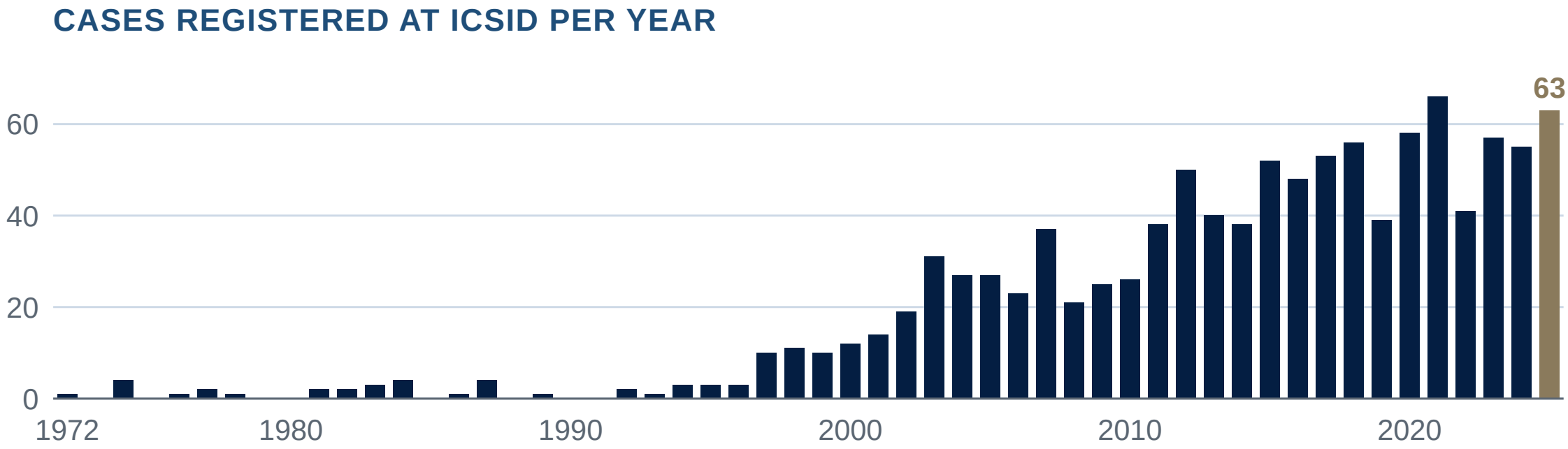
The World Bank, *ICSID Convention Signing*, 1965 · Wikimedia Commons, CC BY-SA 3.0 IGO.

The World Bank drafted the 1965 treaty that set up ICSID (International Centre for Settlement of Investment Disputes)–to draw private investment to poorer countries by giving investors a neutral place to bring claims.

ICSID located at the Bank's Washington headquarters, which the Bank's charter places in the country holding the most shares.

> Investors no longer needed their own government, or its warships, to enforce a deal

ISDS lets investors sue states outside their courts

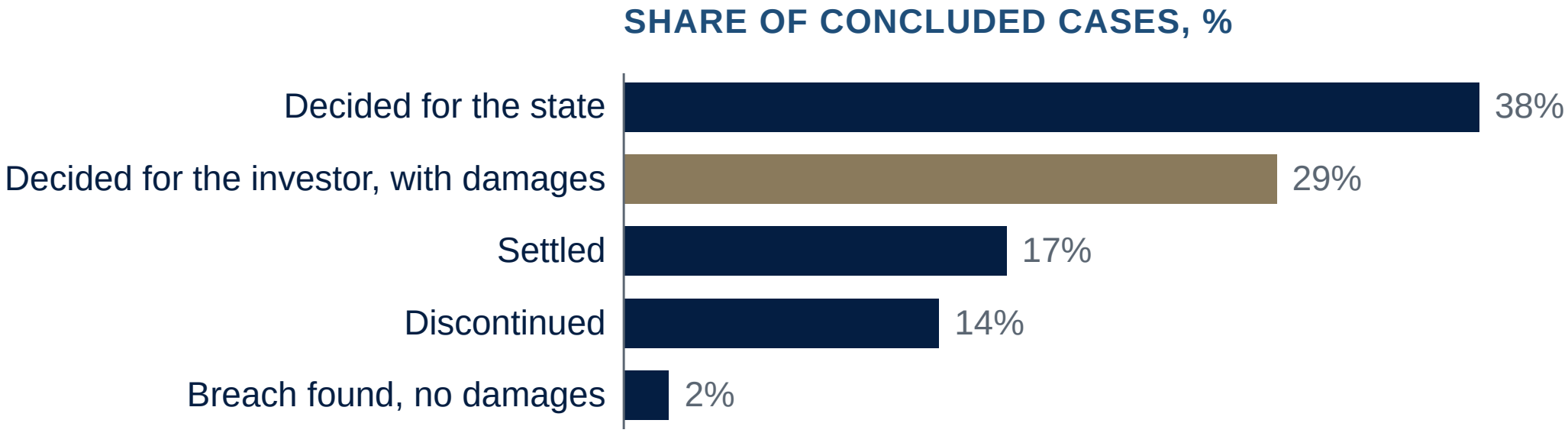


ICSID, *The ICSID Caseload: Statistics, Issue 2026-1*, Chart 3.

The treaties of the 1990s became cases in the 2000s, and ICSID's 159 member states must enforce its awards like their own courts' final judgments.

> In *investor-state dispute settlement* (ISDS), a foreign investor sues the host state before an arbitral tribunal outside that state's courts.

States win more cases than investors do



UNCTAD, *Investor-State Dispute Settlement Cases: Facts and Figures 2024*, IIA Issues Note No. 2, 2025.

Winning investors recover about a quarter of what they claim, so the treaty's force is the cost it adds to changing the terms.

> ISDS does not stop a government from changing the deal, but it makes the government pay when a tribunal finds the change unlawful.



In 1910 Zemurray’s war began on Roatán. In 2022 a U.S. company building a charter city there sued Honduras.

Honduras left ICSID and then came back



Office of the President (Taiwan), *Xiomara Castro*, 2022 · Flickr via Wikimedia Commons, CC BY 2.0.

Próspera claimed $10.8 billion, about a third of Honduras's 2022 GDP, and President Xiomara Castro's government left ICSID in August 2024.

Her successor, Nasry Asfura, signed the ICSID Convention again in 2026, and it took effect in August.

> Leaving changed the rules for investors already there, and returning suggests it cost Honduras new ones.

Honduras left ICSID in 2024, after Próspera sued it. If a government can leave a treaty, how well does the treaty protect an investment that cannot leave?

> What keeps a government in a treaty once the investors it wanted have arrived?

Where is your industry’s sunk investment?

Find your industry’s sunk investment

1. **Select** one investment in your team’s network that would be costly to move, such as a plant, a data center, a license, or trained staff.
2. **Diagnose** who could change its terms once it is built, and what they would gain.
3. **Recommend** one protection to arrange before investing, such as a treaty, a local partner, or insurance.
4. **Defend** whether the firm’s bargaining power there is rising or falling.

12 minutes · Industry teams · Diagrams permitted

Which team’s investment is most exposed, and which protection would you trust?

> Would any of these protections have saved Zemurray’s concessions in 1911?

How does sunk investment change bargaining power?

Before he invested, Honduras granted Zemurray concessions to get his money.

Once his land and rails were in place, whoever held the government could change the terms.

He could change a government, but the more he owned, the more ways he could be hurt.

Today treaties and ISDS make a government pay for changing the terms, though it can still leave the treaty.

> On Wednesday, October 21, we ask what happens when a state depends on a firm’s technology.